

Delinquent History of a Fictitious Auto Loan Owner: Customer #6649525

Introduction Customer #6649525 is a 42-year-old HVAC technician residing in Grand Rapids, Michigan. He obtained an auto loan in March 2020 to purchase a certified pre-owned SUV needed for work. The loan, issued by Lakeshore Motor Finance, totaled \$27,800 with a six-year term and an interest rate of 7.1%. This document outlines his payment behavior, financial challenges, and delinquency path.

Loan Origination and Early Performance At origination, Customer #6649525 had a credit score of 682, stable income from a unionized HVAC contractor, and no prior auto repossessions. His monthly payment was \$455, which he paid consistently from March 2020 through February 2021.

Unexpected Financial Setbacks In April 2021, income reduction, family medical expenses, and rising household costs caused him to miss his first payment in May 2021. The lender granted a two-month payment extension.

New Employment, New Problems The customer secured a new job in August 2021, but a three-week employment gap, increased vehicle expenses, and higher commuting costs caused him to miss September and October 2021 payments. A temporary hardship modification stabilized payments briefly.

Escalation of Delinquency By February 2022, the account was 60 days delinquent. After disclosing increased childcare expenses and higher rent, the lender offered a second modification plan.

Late 2022 – Major Income Shock A work-related back injury reduced his income to 60% disability pay, leading to missed November, December, and January payments. Attempts to contact him were sporadic.

Repossession and Deficiency After 120 days of nonpayment, the vehicle was repossessed in March 2023. The SUV sold for \$11,200 at auction, leaving a deficiency of \$7,450.

Resolution and Settlement A settlement plan was offered: \$3,100 paid over 14 months in exchange for forgiveness of the remaining deficiency. The customer completed the settlement in June 2024. His credit report now reflects "Settled for less than full balance."

Analysis and Lessons Learned Customer #6649525's delinquency stemmed from job instability, medical injury, divorce-related expenses, and rising household costs. Lakeshore Motor Finance followed best practice hardship and collections procedures.

Conclusion This case demonstrates how financial instability can develop from multiple, compounding stressors. Active communication and flexible hardship programs benefit both borrowers and lenders.